another developed country which has a relatively low cost. Under *CDM*, a developed country can take up a greenhouse gas reduction project activity in a developing country where the cost of GHG reduction project activities is usually much lower. The developed country would be given credits for meetings its emission reduction target, while the developing country would receive the capital and clean technology to implement the project. Under *IET* mechanisms, countries can trade in the international carbon credit market. Countries with surplus credits can sell the same to those with quantified emission limitation and reduction commitments under the Kyoto Protocol.

The concept of carbon credit trading seeks to encourage countries to reduce their GHG emissions, as it rewards those countries which meet their targets and provides financial incentives to the others to do so as quickly as possible. Surplus credits (collected by overshooting the emission reducing target) can be sold in the global market. One credit is equivalent to one tonne of CO_2 emission reduced. Carbon Credit (CC) is available for companies engaged in developing renewable energy projects that offset the use of fossil fields. Developed countries have to spend nearly $25 billion which will be ultimately spent by developing countries. In countries like *India*, GHG emission is much below the target fixed by Kyoto Protocol and so, they are excluded from reduction of GHG emission. On the contrary, they are entitled to sell surplus credits to developed countries. It is here that trading takes place. Foreign companies, who cannot fulfill the protocol norms, can buy the surplus credit from companies in other countries through trading. Thus, the stage is set for Credit Emission Reduction (CER) trade to flourish. India is considered as the *largest* beneficiary claming about 31 per cent of the total world carbon trade through the Clean Development Mechanism (CDM).

The trading takes place on two stock exchanges, the Chicago Climate Exchange and the European Climate Exchange. CC trading can also take place in the open market as well. European countries and Japan are the major buyers of carbon credit. Under the Kyoto Protocol, global warming potential (GWP) is an *index* that allows for the comparison of greenhouse gases with each other in the context of the relative potential to contribute to